2 Unravelling the canvas of history[1]

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Origins of the development agenda

Development came on the agenda before the end of World War II in anticipation of the decolonisation of Asia and Africa. Leaders of struggles to free the colonial world from imperialist control and refugee economists from continental Europe gathered in London, Cambridge, and Oxford. The early literature on development economics was produced by independent-minded scholars. A remarkable number originated from Scandinavia (Frisch, Myrdal, Nurkse), Western Europe (Hirschman, Mandelbaum, Perroux, Singer, Tinbergen), and Central and Eastern Europe (Bauer, Georgescu-Roegen, Kaldor, Kalecki, Rosenstein-Roden, Schumacher, Streeten). Others came from Britain (D. Seers), Russia (Gerschenkron, Kuznets, Leontieff), India (Chakravarty, Mahalanobis, V.K.R.V. Rao), Burma (Myint), Argentina (Prebisch), Egypt (S. Amin), Brazil (Furtado), the West Indies (W.A. Lewis) and the US (Chenery, Rostow). The early United Nations (UN) provided a supportive environment, and important conferences were held in New Delhi, Rio de Janeiro, and Cairo.

In 1945, the US and the Soviet Union emerged as the two most important world powers. Both enjoyed respect and influence in Europe and Asia, but neither was initially concerned with the development of underdeveloped regions. The primary concern of the US in the early postwar years was the threat of communism in Europe and Asia. A secondary objective was the dissolution of British and also French preferential economic spheres of influence and currency blocs. The Marshall Plan, a large volume of unconditional economic assistance, was successful in limiting Soviet influence to the satellite states of Eastern Europe, where communist governments were installed in 1948 after a brief period of democratic multiparty regimes. In Asia, following the defeat of Japan in 1945, US hegemony was challenged by the victory of Mao's communist revolution in 1949. The remnants of Chiang Kai-Shek's forces retreated to Taiwan. For the next 30 years, the US recognised the Nationalists in Taiwan as the legitimate government of China with a veto in the Security Council in the UN. A major war in Korea pitted a US-led UN force against China, resulting in the division of the country between North and South, with 30,000 troops on the border to this day. The US Seventh Fleet is permanently deployed in the waters of Japan, Korea, and Taiwan.

A rising tide of anti-imperialist forces in Southeast Asia were engaged in struggles to free the region from Japanese occupation and attain political independence from British, French, and Dutch colonialism. British India gained independence in 1947, tragically by the division of the subcontinent into India and Pakistan. India established friendly relations with the Soviet Union while Pakistan drifted into the US sphere of influence.

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In 1956 Egyptian president Nasser nationalised the Suez Canal, and the US refused to support British and French intervention.

In 1955, President Sukarno of Indonesia, joined by Nehru of India, Nasser of Egypt, and Nkrumah of Ghana, convened a conference of Asian and African non-aligned states in Bandung. China's premier and foreign minister Zhou Enlai headed the Chinese delegation. By this time China's relations with Russia had chilled, and Tito's role in the Non-Aligned Movement, formalised in Belgrade in 1961, was evidence that the Bandung initiative sought independence from Moscow as well as Washington.

The US used every means at its disposal in efforts to replace secular national left-wing governments, including assistance to religious fundamentalist extremists, as in Afghanistan in the 1980s. From the overthrow of Mossadegh and the installation of the Shah in Iran, to the massacre of a million supporters of the Sukarno regime in Indonesia by General Suharto in 1965, to the war in Vietnam from 1965 to 1975, and massive support for the Marcos regime in the Philippines, which hosted a principal US military base, Asia was the prize, and official development assistance was directed toward securing the gains.

The development project takes shape

In the course of the 1950s, development studies was institutionalised, and the US State Department engaged the services of leading US universities to fashion programmes of economic development. India was assigned to Harvard, and Indonesia to the Massachusetts Institute of Technology (MIT), and the University of Chicago played the leading role in Latin American studies. MIT professor W.W. Rostow's *Stages of Economic Growth*, subtitled *A Non-Communist Manifesto* (1960), suggested that any country could engage in an aeronautical assent from 'takeoff' to self-sustaining growth and mass consumption, provided cultural and historical obstacles to modern business practice were overcome. The model was appealing, and the modernisation approach dominated development studies in political science and sociology.

In the 1950s, Latin American states were firmly locked into friendly relationships with the US, which could at all times count on their votes in the UN. It is important to note, however, that the US did not pressure these governments to comply with free trade treaties. Brazil was particularly successful in implementing policies of industrialisation. The US responded to the Cuban Revolution of 1959 by launching the Alliance for Progress. The US also imposed a trade embargo and made a number of unsuccessful attempts at regime change in the island. In 1962, Cuba was suspended from the Organization of American States (OAS); only Mexico and Canada maintained diplomatic relations. With the end of easy import substitution, political tensions mounted. In 1964, a military government took control of Brazil and exiled thousands of intellectuals and other opponents of the regime. In 1973, the democratically elected government of Allende in Chile was overthrown by a US-supported military coup. Murderous military dictatorships were also established in Argentina and Uruguay, in 1976. Strong economic growth in the 1970s was driven by favourable markets for primary products, and Latin America attracted large inflows of capital from US commercial banks seeking returns higher than could be obtained domestically. The foundations of the debt crisis of the 1980s were laid.

As an increasing number of African and Caribbean countries acceded to political independence, the UN established the Conference on Trade and Development (UNCTAD) in 1964 under the direction of Raúl Prebisch to address the problems of export-dependent peripheries. But it was the Organisation of Petroleum Exporting Countries (OPEC) in

the Middle East, with the participation of Venezuela, that was effective in exercising commodity power.

In the 1970s, the General Assembly of the UN adopted the Action Plan for a New International Economic Order. Many international conferences were held, but no meaningful concessions were made by the North. It marked the end of an era in which the UN could effectively give voice to the aspirations of the developing world. In his Nobel prize lecture of 1979, renowned development economist W. Arthur Lewis noted that there will be no new international economic order until the nations of the Global South develop their own resources, individually and collectively, to increase food production and employ their populations in productive industries and services. He noted that the 'engines of growth' of industrialised countries were slowing down and that continued dependence on exports to these countries would ensure that they remain poor. A more equitable international economic order would have to await the rising power of the Global South. With the accession of Prime Minister Thatcher (in 1979) and President Reagan (in 1980), an economic regime change was instituted in Britain and the US. The objective was to restore the discipline of capital over labour in the industrialised world and reduce the powers of government in the developing world. A doctrinal coup at the World Bank dismissed liberal-minded economists, including Streeten and Ul Haq, who had introduced a basic needs approach to development, and installed a team of hard-nosed neoliberals, including several trade economists. Policies of domestic industrialisation, which had achieved growth rates in the South equalling those of the industrialised countries from 1950 to 1980, were now deemed to be inefficient and contrary to principles of comparative advantage in international trade. Export-oriented development became the new panacea. The early pioneers of development economics were demonised as 'structuralist', a heresy bordering on socialism.

Recommended reading: Parpart and Veltmeyer (2004).

The right to development

There was no longer a need for development economics because, in the new order, the laws of economics had universal validity without regard for structural or historical difference. Two prominent pioneers of development economics, Albert Hirschman and Dudley Seers, wrote eulogies with titles such as 'The Rise and Decline…' and 'The Birth, Life and Death of Development Economics'.

The declaration of the Right to Development by the UN in 1986 was a defensive action intended to confirm the right of developing countries to engage in national strategies of social and economic transformation. However, under the influence of the rising tide of neoliberalism, the UN Universal Declaration of Human Rights of 1948, which included social and economic rights, was reinterpreted as a doctrine of individual human rights, which effectively excluded the collective right to development. Twenty-five years of structural adjustment policies imposed on African and Latin American debtor countries have systematically limited the exercise of sovereign states to achieve the goals of human development for their citizens. Development was replaced by macroeconomic and structural adjustment to demands of private and official creditors. The Washington Consensus of deregulation, liberalisation, and privatisation became the universal prescription. The authors of the *UN Contribution to Development Thinking and Practice* (Jolly, Emmerij, Ghai, & Lapeire, 2004), the official history of the UN, acknowledged that in the 1980s intellectual and policy initiative regarding development passed to the International Monetary

Fund (IMF) and the World Bank. The UN found itself 'unable to come forward with a new agenda that offered the prospect of coping with the new problems while preserving the social and human development goals it had been advocating' (Jolly, Emmerij, Ghai, & Lapeire, 2004: 150). The UN became increasingly impotent.

An extreme rise in interest rates at the opening of the 1980s plunged Latin American countries into a decade-long debt crisis. Over-exposed commercial banks were rescued by the IMF and the US Treasury. Private debt was socialised and added to public debt. The blame for the debt crisis and the entire cost of adjustment was placed on the debtor countries and borne by their populations.

Africa became a gigantic laboratory for experiments in economic liberalisation, as scores of countries came under the tutelage of the IMF and the World Bank. Subsidies to farmers were eliminated, and domestic food production declined as scarce resources, including water, were reserved for the production of exotic products, such as strawberries and flowers, for European markets. Where tropical agricultural commodities competed with US products, as in the case of cotton, African exports were effectively embargoed. Few economists in Africa believed in these policies, but desperation elicited compliance.

By contrast, in the 1970s and 1980s Korea had embarked on industrial policies that combined import substitution with export promotion guided by large and effective planning agencies with the full support and direct participation of political authorities. The corporatist business organisation of Korea was modelled on Japan, with close association between large productive enterprise and domestic development banks. Foreign direct investment (FDI) was restricted. In Taiwan, medium-sized enterprises were favoured. The success of the so-called Tiger economies owed nothing to the World Bank or the IMF but benefited from the geopolitical interests of the US, which permitted them to engage in active industrial policies that violated neoliberal doctrine. With variations, such as the encouragement of FDI, policies combining domestic industrialisation with export of manufactures were followed by Malaysia, Thailand, Indonesia, and later also Vietnam. In all these cases, nationally owned enterprises were critical to successful economic development. In the late 1970s, China launched a programme of economic reform combining private with state enterprise in a unique model of a socialist market economy. This yielded unprecedented high rates of growth, based on very high rates of domestic and foreign investment, the latter principally from overseas Chinese capital from North and Southeast Asia. External markets for manufactured exports in North America and Europe were complemented by a dense network of China-centred regional trade relations. In the early 1990s, China, and to a lesser degree India, emerged as new growth poles of the world economy.

Recommended reading: Jolly, Emmerij, Ghai, and Lapeire (2004).

The nation-state, capitalism, and development

As in the earlier case of the late industrialisers of the 19th century—Germany, the US, Russia, and others—no country has ever achieved economic development without the construction of an effective modern nation-state, and no country has established a viable industrial base without protecting its industries from the unrestricted import of goods and capital. In all cases of late industrialisation, economic development was a political project requiring a state with authority and legitimacy to negotiate conflicting interests of classes and regions.

Following the victory of the West in the Cold War and the implosion of the Soviet Union, social democratic governments in Europe embraced Anglo-American doctrines and policies of privatisation. Socialism was in ideological retreat, and the social welfare state on the defensive. In Russia, a new oligarchy of former Soviet officials acquired state assets at fire sale prices. Huge fortunes were made in this chaotic condition of wild capitalism, while millions descended into poverty and average life expectancy plummeted. Similar policies transformed the countries of East Europe from Soviet satellites to economic and political clients of the Western powers. North Atlantic Treaty Organization (NATO) military installations were shifted from West to East Europe, and control over the Balkans was secured by dismantling the former Yugoslavia. In 1991, the US launched the first Gulf War against Iraq, which it had previously supported in its war with Iran.

In the rest of the world, the projection of Western economic power was aimed at securing access to markets and natural resources and, most importantly, protection of foreign investments from regulation and control by host national governments. The first attempt at a treaty designed to privilege investor rights over the sovereign rights of national governments was the Multilateral Agreement on Investment (MAI) drafted by the Organisation for Economic Co-operation and Development (OECD). This was blocked by a campaign of international non-governmental organisations (NGOs). The arrangements governing mutually negotiated trade agreements under the General Agreement on Tariffs and Trade (GATT) was converted to the World Trade Organization (WTO), with binding rules and mechanisms of enforcement of all member countries; now extended to include services, intellectual property, and so-called trade-related intellectual measures (TRIMs). Although disadvantaged in negotiations, developing countries were able to use their votes to block agreement on further extensions to include investment, government procurement, and competition aimed at entrenching the privileges of the transnational corporations and proposals granting foreign investors extended rights under enhanced free trade agreements (FTAs) such as the North America Free Trade Agreement (NAFTA). Signed in 1994, the NAFTA served as a template for the proposed Free Trade Area of the Americas (FTAA) and all subsequent FTAs. Commitments made by countries signing FTAs with the US or Economic Partnership Agreements (EPAs) with the European Community go far beyond what is required of member countries of the WTO. In the early 1990s, a word was lifted from the literature of communications and presented as describing an irreversible historical trend toward a borderless global economy: 'globalisation.' For developing countries, there appeared to be no alternative to deeper integration into circuits of trade and capital flows. As Latin America emerged from the debt crisis of the 1980s, governments advised by US-trained economists installed in central banks and ministries of finance instituted neoliberal reforms—most radically in Argentina. In Africa, debt relief failed to reverse the excess of the outflow of debt service over the inflow of official development assistance. This so-called TINA (there is no alternative) effect was accompanied by extravagant claims for the beneficial results of 'globalisation'.

The World Development Report of 1995, entitled *Workers in an Integrating World*, suggested that globalisation promised a return to the 'golden age' of 1870–1914, which could bring untold prosperity to developing countries provided they opened their economies to unrestricted imports and capital flows (World Bank, 1995). The title of the report suggests that workers could be the principal beneficiaries of globalisation. The authors of this flagship publication of the World Bank seem to have forgotten the fact that 1870–1914 was the Age of Empire, when European imperialist expansion engulfed

all of Africa and most of Asia. Throughout this period, colonial labour exploited in the mines and plantations of Africa and Asia contributed to the accumulation of capital in the industrialised countries, on impoverishing and deteriorating terms of trade. Colonial possessions became captive markets for British and other European textiles and their traditional agricultural economies were transformed to supply cotton, rubber, palm oil, jute, indigo, and other agricultural and mineral commodities to the metropoles.

When Adam Smith published *The Wealth of Nations* in 1776, the living standard of an Indian peasant was no lower than that of an English agricultural labourer, and China was regarded as a model of a prosperous and stable civilisation. From the conquest of Bengal by the East India Company and throughout the 19th and early 20th centuries British India regressed from a viable agricultural economy to an impoverished underdeveloped country. In the late 1870s and again in the late 1890s, the failure of monsoon rains produced the greatest famines in recorded history in India and also in Northern China. British authorities failed to provide famine relief and continued to ship large quantities of grains to London on railways whose costs were charged to the colonial government of India. Because colonial authorities neglected to maintain traditional management of water resources of canals, wells, and storage tanks to provide for drought, many millions perished unnecessarily from hunger and disease. In China, social disintegration due to the introduction of opium by the British East India Company earlier in the 19th century had weakened the capacity of the government to come to the aid of victims of the famine in Northern China, which claimed between 8 and 20 million lives. Both in India and in China the forced opening of the country to 'world markets' by British imperial policies turned devastating droughts into human disasters (Davis, 2002).

It is difficult to understand how an agency mandated to serve 'development' could have advocated a return to the globalisation of the 19th century as a prescription for development for the 21st century. Moreover, the World Development Report of 1995, a veritable capitalist manifesto, cannot be dismissed as a lapse of memory, because the World Bank continues to urge countries to increase exports, encourage imports to compete with domestic firms to improve efficiency, open up to unrestricted flows of capital, and generally to deepen integration into the world economy.

Recommended reading: Bello (2009); Bienefeld (2013); Veltmeyer (2005); World Bank (1995).

The financialisation of development and the global financial crisis

The most serious crisis since the Great Depression heavily affected precisely those countries most deeply integrated into the financial networks of capitalism. The epicentre of the crisis was in the US, and the countries most vulnerable included the UK, Australia, Switzerland, the Eurozone, Eastern Europe, and the OECD country of Korea. Among the least vulnerable were the large developing countries, including China, Indonesia, and Nigeria. For the first time since the 1970s, the IMF extended rescue packages to European countries, including Iceland ($12 billion), Hungary ($20 billion), Latvia, and other Baltic countries indebted to Western banks. By contrast, in the developing world, only Pakistan and Turkey requested IMF assistance.

The 1990s witnessed more frequent and more severe financial crises than those of the 1930s, not yet in the heartlands of capitalism, but in Mexico, Turkey, Brazil, Argentina, Russia and, most importantly, in East Asia. In some of these crises, incomes plunged by

20 or even 30 per cent at a time. The IMF intervened to save major international banks from losses in East Asia in 1997–1998 and facilitated the transfer of ownership of industrial enterprises from domestic to foreign capital. The panic soon passed, and in 1999 legislation enacted during the Great Depression, which had prohibited deposit-taking commercial banks from engaging in the sale of stocks, bonds, and insurance and issue of mortgages, was repealed by the Clinton administration at the urging of Wall Street. The firewall separating commercial from investment banks was thereby removed. For the next ten years, an inverted pyramid of financial assets and claims was constructed on the base of the savings of millions of people in pension funds, mutual funds, insurance premiums, equities and investment in real estate, whose value appeared to be forever rising. During the Bush administration, all remaining restrictions on financial transactions were removed.

Since the mid-1980s, the returns on portfolio investments and the opportunities for capital gains have exceeded profits from investment in non-financial enterprise. Corporations moved assets from production to distribution and finance. They engaged in downsizing, subcontracting, and outsourcing to cheaper labour locations to boost shareholder value and compete on stock markets with financial service industries. Some 40 per cent of total corporate profit accrued to financial enterprise. The contribution of finance, insurance, and real estate amounts to 20 per cent of gross domestic product (GDP) in the US and Britain whereas manufacturing declined to levels of 13 and 11 per cent respectively. There has been no increase in median wage and salary earnings in the past 25 years.

Ten years after the Asian crisis, the inevitable crash finally hit the heartlands of this predatory Anglo-American variety of capitalism. The epicentre was the US and Britain, but the damage extended to Europe and to financial institutions in many other countries. The permissive condition of the extraordinary accumulation of public and private debt was the inflow of capital from the rest of the world to cover a 6 per cent external current account deficit in the US. Since 1971, when the US abandoned gold convertibility, the US dollar has served as the principal reserve currency of the world, and banks have been able to create dollar liabilities unconstrained by official reserve ratios.

Keynes's greatest fear was that finance would destroy capitalism. By this he surely meant that the unrestricted power of financial capital could corrupt the capitalism that organised the production of useful goods and services and applied technology to improve living standards of the people. Western governments are pouring billions into the bottomless coffers of banks to save a rapacious form of capitalism that has demonstrably failed to deliver on its promises. The ideologues and institutions that preach their doctrines of 'reform' designed and serving to subordinate societies and nations to the global republic of capital have lost all legitimacy. Henceforth, crises must present an opportunity to regain political and economic control of governments by the majority population in the developing world.

Globalisation, it has often been said, provides challenges and opportunities, winners and losers. But history has surprises. The advocates of globalisation did not imagine that the principal beneficiary of the liberalisation of trade would be communist China. Nor did they anticipate that the failures of liberalisation policies in Latin America would result in the election of a new generation of left-leaning political leaders in the 2000s. They certainly did not expect that the deregulation of powerful financial institutions would unleash the most serious financial and economic crisis in 2008 since the Great Depression.

Recommended reading: Polanyi Levitt (2013).

From global crisis to a reconfiguration of international power relations

We do not know what the future holds, but it is clear that the world has become both more diverse and more interdependent. We live on one planet, which is seriously threatened by climate change and environmental degradation of the rivers, seas, and earth that sustain our lives. There is agreement that the predatory mode of capitalism, which has dominated international trade and finance, has failed. But there is no agreement, indeed there cannot be, on any one alternative mode of economic organisation. All modern economies are mixed economies, with some combination of state enterprise, at national, regional, or municipal levels, private sector, cooperative, community or social economy, non-profit associations, and work performed within the household. But all societies require an effective state with the authority and legitimacy to negotiate conflicting domestic interests. Just as there are many forms of organising an economy, there are many forms of democratic governance, and representational government by political parties is not necessarily the most appropriate for any particular society. The economic crisis invites innovation in the regions of political and social organisation in accordance with the specific historical and cultural heritage of the varied peoples of the world. This much more interesting approach to the study of international development challenges its students to explore the history and the culture of the diverse societies of the world.

Recommended reading: Bello (2009); Lapavitsas (2013).

Note

1 Editors' note: This chapter is a revised version of that included in the first edition of the *Essential Guide*. It has not been updated to include the latest economic crisis resulting from COVID-19 but is retained here for its exemplary sweep of history, the ability to link events separated in time, and the prescience of the analysis of the path out of crisis which resonates today. The original chapter was based on material contained in the author's *From the Great Transformation to the Great Financialization: On Karl Polanyi and Other Essays* (Fernwood, 2013).

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